



Ineffective Corporate governance

5

Ineffective Corporate governance

Corporate governance includes the Board of Directors, independent directors, Board structure, composition, and incentives. Ineffective corporate governance is one where one or two people can control the entire board and make key decisions. This can lead to financial manipulation.

When corporate governance is inefficient, we must get more cautious about the company's reporting. When one or two people control the board, there is no system of checks and balances. This does not necessarily mean manipulation but one must be careful about the same.